No. 97-1732

Supreme Court, U.S.
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IN THE

Supreme Court of the United States

OCTOBER TERM, 1998

California Public Employees' Retirement System and Florida State Board of Administration,

Petitioners,

v.

Paul Felzen, et al.,

Respondents.

On Writ of Certiorari to the United States Court of Appeals for the Seventh Circuit

BRIEF FOR RESPONDENTS PAUL FELZEN AND SANDRA ESNER

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QUESTION PRESENTED

Whether a nonparty shareholder who appears, in response to notice provided under Federal Rule of Civil Procedure 23.1, to present objections to a proposed dismissal or settlement of a derivative action, may appeal an adverse decision even though the shareholder has not been formally made a party to the action.

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JURISDICTION

The Court of Appeals entered its judgment on January 21, 1998. The petition for a writ of certiorari, filed on April 21, 1998, was granted on September 29, 1998. Petitioners invoke the jurisdiction of this Court under 28 U.S.C. § 1254(1).

STATEMENT OF THE CASE

The facts relevant to this petition are simply stated. Respondents, shareholders in Archer Daniels Midland Company ("ADM"), brought this derivative suit in the United States District Court in Illinois, alleging that ADM's directors had violated duties owed to the corporation. A settlement was reached, and pursuant to Fed.R.Civ.P. 23.1, notice of the proposed settlement was given to all the shareholders. Petitioners filed written objections to the settlement and appeared at the settlement approval hearing in opposition to the proposed settlement. At the conclusion of the hearing, the district court rejected their objections, approved the settlement and entered judgment.

Petitioners never sought to intervene in the district court. One week after the district court hearing, however, they filed a notice of appeal to the Court of Appeals for the Seventh Circuit as objectors "entitled to appeal." App. 348-49. Respondents moved to dismiss the appeal in light of Seventh Circuit precedent squarely holding that nonparty class members who do not seek to intervene to become parties may not appeal from district court orders. *In re Brand Name Prescription Drugs Antitrust Litigation*, 115 F.3d 456 (7th Cir. 1997) (Posner, C. J.). The *Brand Name Drugs* decision relied

on this Court's holding in *Marino v. Ortiz*, 484 U.S. 301, 304 (1988), and made clear that *Marino* barred objectors who were not name plaintiffs in representative actions from appealing district court orders. *Brand Name Prescription Drugs*, 115 F.3d at 457. In this case, the Court of Appeals (Posner, C. J., and Flaum and Easterbrook, JJ.) dismissed petitioners' appeal, holding that petitioners as nonparty objectors were not entitled to appeal. The panel's opinion was circulated to the judges of the Seventh Circuit, and no judge favored hearing the case *en banc*. Petitioners sought certiorari from this Court, which the Court granted on the limited issue whether Rule 23.1 objectors who do not intervene can nonetheless appeal.

Despite the apparent simplicity of these facts and the straightforward nature of the legal issue raised by this Court's grant, petitioners' brief is laced with personal attacks upon the conduct of plaintiffs and their counsel. This attack is entirely irrelevant to the issue upon which the writ issued. Petitioners understand that full well. Apparently, they hope that by casting aspersion on plaintiffs' counsel's conduct, this Court will somehow forgive petitioners' failure to seek to intervene. Perhaps we need say no more on this score. But we are unwilling to have the Court proceed on the basis of doubts about plaintiffs' counsel's conduct. The record in this case, including affidavits and the district court's findings, makes clear that petitioners' charges are unwarranted.

Paul Felzen and Sandra Esner are individual shareholders of ADM. They brought this derivative action in the United States District Court for the Northern District of Illinois in July 1995 on behalf of ADM and its

shareholders against 17 ADM directors after the federal government's investigation of illegal price-fixing at ADM was disclosed. Plaintiffs were concerned that the ADM board, long criticized as being dominated by Chairman Dwayne Andreas, whose son was being investigated for price-fixing, would not respond appropriately to the criminal investigation. The case was subsequently transferred to the United States District Court for the Central District of Illinois. Other individual shareholders brought similar derivative actions in Delaware State Court.

Petitioners are two ADM shareholders who own less than one percent of the Company's common stock. Although aware of this litigation and apprised of settlement discussions months before the case was settled, petitioners did not seek to participate in the litigation or make their objections to the proposed settlement known to plaintiffs' counsel until after the parties to the derivative actions had entered into a settlement agreement.

Plaintiffs' counsel prosecuted this lawsuit for nearly two years during which time they reviewed all the documents ADM produced for various civil antitrust litigations, filed amended and supplemented pleadings and briefed successive motions to dismiss and discovery motions. The motions were set for hearing when the parties agreed to discuss settlement. Plaintiffs' counsel agreed to discuss settlement not only because of the risks of this litigation and derivative litigation in general but, more importantly, because they and ADM shareholders believed that the ~~real~~ long term value to ADM would come through corporate governance reforms

that could be obtained only through settlement, but not through litigation. The primary interest of ADM shareholders, including large institutional shareholders, was to make ADM's board more independent and less subject to management control.[1]

In late 1996 and early 1997, plaintiffs' counsel met with and spoke by telephone to large institutional investors, including petitioner CalPERS, amicus, the Council of Institutional Investors ("CII"), the Carpenters Pension Fund, the Teamsters Pension Fund, and an official responsible for New York City's pension fund investments, to solicit their views and input with respect to the litigation and settlement negotiations. CII declined to become involved because a legal action was "politically sensitive," and CII members did not always agree on solutions or with "shareholder activism" in general. App. 329.

Plaintiffs' counsel met with CalPERS' general counsel in San Francisco in February 1997 to discuss the various corporate governance measures that ADM was willing to implement as part of the settlement of the action. Additionally, plaintiffs' counsel specifically advised that ADM was unwilling to adopt all of the provisions of the CII definition of independence as part of a settlement of this case. CalPERS' counsel commented that a somewhat weaker definition of "independence" was "okay" because the CII definition was intended to

[1] Shareholder proposals requiring a majority of independent board members and confidential voting were defeated at ADM's annual meeting of shareholders in 1996, but had each received more than 40% of the votes at ADM's annual meeting.

establish a starting point for negotiations. She then commended plaintiffs' counsel for informing institutional investors of their settlement negotiations and said she would speak to FSBA. App. 330-31. At no time before, during, or after this February 1997 meeting did CalPERS (or FSBA) offer any suggestions or communicate to plaintiffs' counsel any dissatisfaction with the terms of the settlement plaintiffs were negotiating, until one month after the settlement was publicly announced and a few days before CalPERS and FSBA filed their written objections to the settlement in July 1997.[2]

Petitioners acknowledge that a settlement that promotes board independence can provide "significant value" to ADM and its shareholders. App. 321. They attack the settlement, however, because it permits board members who have non-material relationships to ADM to be classified as independent; it incorporates the reforms ADM's Corporate Governance Committee had recommended; it provides for allegedly excessive attorneys' fees in light of the benefits conferred; and because they believe—incorrectly—that all claims are to be released.

The settlement is the result of five months of negotiations among counsel for plaintiffs, the defendant directors and ADM. The settlement is also the result of

[2] Plaintiffs' counsel called CalPERS' general counsel after the settlement agreement was signed. No one from CalPERS returned the call. However, shortly after the district court preliminarily approved the settlement, the CII resurfaced and demanded to know why the settlement did not adopt verbatim CII's definition of an independent director. App. 331-32.

separate negotiations among counsel for the plaintiffs in the Delaware State Court action and defendants which led to certain additions and modifications to the settlement. The settlement incorporates ADM's Corporate Governance Committee's recommendations, which had been approved but not implemented, and further imposes new requirements on ADM—to amend its bylaws to reflect the changes in board requirements and to change the composition and role of key board committees. App. 119, 128-133. The reforms over all have been described by Columbia University Law School Professor John C. Coffee, Jr., with whom plaintiffs' counsel consulted during settlement negotiations, as "more or less the state of the art in American corporate governance" and "significant steps to facilitate board independence and to end the apparent managerial domination of the ADM board." App. 226, 229. Professor Coffee also noted that CII's definition of an "independent" director did not reflect "the prevailing view" and had not been adopted by many public corporations with model corporate governance standards. App. 327.[3]

The settlement requires the director defendants to pay $8 million from their $10 million insurance coverage to the corporation, more than half of which is to be used to pay the cost of implementing the settlement's reforms, including education, training and legal compliance. App. 118, 128-33.[4] Moreover, the newly constituted Audit Committee has been delegated new responsibilities for legal compliance oversight which, according to Professor Coffee, are "of special value" to ADM. App. 226. ADM does not release all claims, but rather retains all claims that it may have against Michael D. Andreas, Terrance Wilson and Mark Whitacre, the only three ADM officials whom the government prosecuted for price-fixing. App. 117-18.[5] Thus the fee award reflects the value placed on the overall settlement, including corporate governance reforms. Petitioners do not disagree that such reforms have value, but disagree with the valuation in this case.[6]

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[3] Despite their position at the settlement approval hearing, petitioners did not resubmit their proposal for defining director independence to a vote of the ADM shareholders.

[4] Petitioners' suggestion (Br. 6 n.7) that plaintiffs' counsel may have a conflict because the Audit Committee could engage them as "outside independent counsel" is preposterous.

[5] Plaintiffs' counsel did not meet with the insurance carrier. The defendants' counsel, however, did meet with the carrier to discuss, among other things, respondents' insistence that claims against Michael Andreas not be released. If ADM fails to take appropriate action to pursue any claims it has against Andreas, Wilson or Whitacre, a shareholder, including CalPERS or FSBA, may bring a derivative action against ADM's Board at the time.

[6] Plaintiffs' financial expert, R. Alan Miller, valued the settlement at $158 million. App. 249. The fee is a small percentage of this number. The fee, less expenses, represented a multiplier of approximately 1.3 of the then lodestar of the Delaware and Illinois plaintiffs. App. 169, 219. Like CalPERS, the Delaware plaintiffs' attorneys requested a fee that did not take into account the value of the corporate governance reforms. They referred to situations where the settlement did not, as it does in this case, provide both for a monetary payment to the corporation by its directors and a non-monetary corporate benefit. *See* Pet. Br. 9 n.10.

When petitioners appeared at the settlement hearing in July 1977, they alluded to the potential for collusion in derivative and class action settlements. They admitted, however, that they had no evidence of collusion, App. 338, and the district court judge made an express finding that there was "no basis for claims of collusion. Just none. These people have dealt with each other professionally and at arm's length." App. 347. The district court did have evidence—the written record—of the history of the litigation, the reasons for the settlement and the value of the settlement. Based on this record, briefs and oral arguments, the district court approved the settlement as fair, reasonable and adequate. Pet. App. 12a.[7] Citing expert affidavits as to the value of the corporate governance reforms, the district court awarded plaintiffs attorneys' fees and expenses totaling $3,920,000. Pet. App. 17a. One week later, petitioners filed their notice of appeal from the district court's final judgment and orders.

SUMMARY OF ARGUMENT

1. In *Marino v. Ortiz*, 484 U.S. 301, 304 (1988), this Court said:

> The rule that only parties to a lawsuit, or those that properly become parties, may appeal an adverse judgment, is well settled. The Court of Appeals suggested that there may be exceptions to this general rule, primarily "when the nonparty has an interest that is affected by the

[7] In addition to the written evidentiary record and oral arguments, plaintiffs' financial expert, R. Alan Miller, was present for the hearing.

> trial court's judgment." We think the better practice is for such a nonparty to seek intervention for purposes of appeal; denials of such motions are, of course, appealable.

Relying upon this language, Fed.R.App.P. 3(c), and its own earlier decision in *Brand Name Prescription Drugs*,[8] the court below held that Fed.R.Civ.P. Rule 23.1 objectors who had not sought to intervene could not appeal from a district court's final judgment approving a derivative suit settlement. In this Court, petitioners and their *amici* advance a wide range of arguments seeking reversal. Some are plainly irrelevant. The repeated emphasis (Pet. Br. 13-16, 33-34) on the alleged importance of the objectors' "monitoring" function surely cannot magically transform "objectors" into "parties". Other arguments appear in a contradictory fashion. The various briefs inform the Court both that an intervention requirement is a meaningless formality, and that such a requirement is so burdensome as to deter the appearance of objectors.

2. Like this Court's Rules 12 and 14, Rule 3(c) reflects the principle that only parties may appeal. *See also* 28 U.S.C. §1254(1), which directly governs this proceeding and which restricts petitioners to "any party". Accordingly, petitioners must demonstrate party status. Although petitioners and their principal *amicus*, the United States, vary in expositional style, both in

[8] *In re Brand Name Prescription Drugs Antitrust Litigation*, 115 F.3d 456 (7th Cir. 1997). There, the court, relying upon *Marino*, held that objectors in a class action who had not intervened could not appeal. The court below believed that *Brand Name*'s reasoning applied *a fortiori* in a derivative context. (Pet. App. 4a-6a)

the end draw upon two sources: Rule 23.1 and the decisions allowing persons not named in the pleading captions to appeal—"quasi parties" in the government's terminology[9] or, more appropriately, "ancillary parties". Petitioners insist that they are *de facto* parties by virtue of responding to a Rule 23.1 notice (Br. 19), and also that they fall within the case law permitting non-named parties to appeal. Br. 25-27. Similarly, the government argues that Rule 23.1 "quasi-party precedents do furnish support for appealability" (Br. 16), which is reflected by the language of Rule 23.1 itself. Br. 12-15.

But reliance upon either Rule 23.1 or the "quasi party" doctrine is misplaced.

(a) *Rule 23.1.* (pp. 15-17, *infra*). The government acknowledges that at common law some courts held that nonparty shareholders had no right to notice of a derivative action settlement. Br. 19-20. Rule 23.1 alters that legal landscape, providing stockholders with a right to notice of the proposed settlement and court approval, which in practice carry with them a right to appear for the purpose of objecting. In a Rule 23.1 proceeding, however, an objector does not participate as a party. The shareholder cannot dictate litigation strategy, settle the litigation, or represent the corporation on any issue in the litigation. He can only object. Nothing in Rule 23.1's language or history remotely suggests that the Rule was also intended *implicitly* to confer appeal rights in addition to the two rights that it confers upon shareholders.

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[9] The term quasi party appears in Justice Story's opinion in *West v. Randall*, 29 F.Cas. 718, 722-23 (C.C. D.R.I. 1820).

(b) *Ancillary or Non Caption Parties.* (pp. 17-20, *infra*). Neither Rule 3(c) nor this Court's Rule 12 defines "party" but, as the case law and this Court's Rule 14(b) make clear, this term properly includes persons other than those listed in the pleading captions. The decisions of this Court demonstrate that "ancillary" parties can be grouped into three general categories. *First*, where the appellant is himself the direct object of a judicially enforceable order, such as an injunction or a contempt citation. Second, where the court purports directly to affect legally established rights or duties of named persons, such as determining ownership rights. As *Marino v. Ortiz* makes clear, however, the judicial order must do more than simply disadvantage the would-be appellant. *See also Martin v. Wilks*, 490 U.S. 755 (1989). Rather, the order must operate directly upon the rights or duties of named or identifiable persons. Third, where (as *Marino v. Ortiz* makes plain) the appellant has unsuccessfully sought to intervene in the proceeding.

Neither of the first two categories is applicable here. Rule 23.1 provides for the issuance of a notice, not a summons. (Compare Fed.R.Civ.P. Rule 4). Objectors are not "summoned" to the court, any more than are absent class members who receive a comparable notice under Rule 23(e). *Phillips Petroleum Co. v. Shutts*, 472 U.S. 797, 808-811 (1985). Shareholders can ignore the notice, *and if they do, their own legal rights are not affected.* The government's unsupported argument that the objecting stockholder under Rule 23.1 asserts a "personal right" (Br. 16) is wrong. A Rule 23.1 proceeding itself concerns only the rights of the corporation and all of its stockholders, not the rights of or losses suffered by indi-

vidual stockholders. *Kamen v. Kemper Fin. Servs., Inc.*, 500 U.S. 90, 95 (1991).

(c) *State Law.* An *amicus* contends that state law governs the party status of objectors. (pp. 21-22, *infra*). This issue is not "fairly included" within the question presented (Rule 14.1(a) of the Rules of this Court), and, in any event, is implausible.

3.(a) The distinction between the status of objectors and intervenors has much to commend it. (pp. 22-25, *infra*). A requirement that an objector move to intervene neither reflects a meaningless formality nor creates an unwarranted obstacle. In a derivative suit, the shareholder plaintiff fights for the right to speak for the corporation and then to proceed with the corporation's claims. *Ross v. Bernhard*, 396 U.S. 531, 538 (1970). An intervenor assumes at least some responsibilities and makes some commitments. An objector, by contrast, makes no commitments and assumes no responsibilities. Objectors are not all cut from the same bolt of cloth. Some undertake serious work; others appear in a more or less desultory fashion. Intervention proceedings thus serve as a screening device to deter frivolous or "hold up" appellate challenges to a settlement. If the distinction between objectors and parties is to be altered, it is for Congress to determinate, or for the rule-making process.

(b) Petitioners' argument that appealability without intervention is necessary to prevent collusion is meritless. (pp. 25-27, *infra*). It assumes not only that a district court will rubber-stamp a "collusive settlement" in the face of cogent, well-founded objections and deny a well-founded motion to intervene, but also that the

court of appeals will not carefully review the district court's decisions. If this is truly the situation, it will make no difference whether a nonparty could appeal without seeking to intervene. Either way, the ultimate appeal would be futile. Petitioners' additional argument that an intervention requirement would subject them to burdens, *e.g.*, discovery, is, at best, speculative, as the Court noted of similar claims in *Phillips Petroleum Co. v. Shutts*, 472 U.S. at 810 n.2, and in any event is irrelevant.

ARGUMENT

This case has had extensive briefing with respect to the meaning and content of Rule 23.1, and this Court's ancillary party cases. We see no reason to duplicate that elaborate and meticulous discussion. Rather our submission emphasizes the points that we think are most salient. They reduce to two: only parties can appeal and objectors are not parties.

I. Only Parties Can Appeal and Objectors Are Not Parties.

"The rule that only parties to a law suit, or those that become parties, may appeal an adverse judgment, is well settled." *Marino v. Ortiz*, 484 U.S. at 304. Petitioners' statement that federal courts "routinely permit nonparty appeals" in a wide variety of circumstances (Br. 25-26) is wrong. It rests upon the implicit assumption that only the persons actually named in the caption of the pleadings are properly considered "parties". This is, as we shall show, an error. The authorities actually cited by petitioners and the government involve

situations in which the courts properly viewed persons not named in the captions as ancillary parties. But they provide no assistance to petitioners. Petitioners are objectors. Objectors are not parties. Objectors are just that: objectors.

Rule 3(c) clearly embodies the background premise that only a "party or parties" can appeal. *Marino v. Ortiz*, 484 U.S. 301, 304; *see also* 28 U.S.C. §1254(1). Like this Court's Rule 12, Rule 3(c) itself does not define that term. The case law recognizes that the term "party or parties" properly embraces more than the persons named in the pleading caption. As does this Court's Rule 14.1(b).[10] But as Rule 12 makes clear (to say nothing of 28 U.S.C. §1254(1)), this Court is concerned with the rights of parties. Only parties may petition for certiorari, Rule 12.4, and "all parties to the proceeding in the Court below are deemed parties . . ." Rule 12.6.

To establish their right to appeal to the court of appeals or to this Court, petitioners must establish that they are parties. They cannot do so. Rule 23.1 does not help them and neither do the cases treating persons not named in the pleading caption as parties.

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[10] Rule 14.1 provides:

> A petition for a writ of certiorari shall contain, in the order indicated:
>
> (b) A list of all parties to the proceeding in the court whose judgment is sought to be reviewed (unless the caption of the case contains the names of all the parties), and a list of parent companies and nonwholly owned subsidiaries as required by Rule 29.6.

A. Rule 23.1.

Rule 23.1 can only be understood against the background of a derivative suit. A derivative suit is, in essence, two suits. *Daily Income Fund, Inc. v. Fox*, 464 U.S. 523, 529 n.4 (1984). The first is an effort by a shareholder to establish the authority to speak for the corporation, when the corporation has failed to enforce a right it has. The second, once the authority is established, consists of the shareholder's efforts, in the language of Rule 23.1, "to enforce the right of a corporation." *See Kamen v. Kemper Fin. Servs., Inc.*, 500 U.S. 90, 95-96 (1991). In a derivative action, a shareholder has an economic interest, the value of his shares, but the shareholder brings the proceeding solely in the interests of the corporation and its shareholder owners. In discharging that obligation, a derivative plaintiff may seek to settle or dismiss the case. In such circumstances, Rule 23.1 gives shareholders two rights: the right to notice and the right to court approval. These are valuable rights designed to prevent abuse. But these rights do not confer party status upon the objector. If the district court rejected a settlement, an objector could not force the corporation to adopt a different settlement and could not prosecute or dismiss the case. Objectors bear none of the rights and responsibilities of a party. Indeed, they have no rights whatsoever if the district court dismisses the case involuntarily. *Burks v. Lasker*, 441 U.S. 471, 485-86 n.16 (1978). If objectors seek greater rights, they must move to intervene under Rule 24. Unless they do so, objectors remain objectors, not parties.

Petitioners seek to avoid this obvious difficultly by insisting they were "summoned" to appear in district

court.[11] They thereby seek to assimilate their status to that of a civil defendant. Under Fed.R.Civ.P. 4, a summons issues only to defendants and certain plaintiffs joined as such under Fed.R.Civ.P. 19. *See Chase Nat'l Bank v. City of Norwalk*, 291 U.S. 431, 441 (1934), cited with approval in *Martin v. Wilks*, 490 U.S. at 763. Rule 23.1 *authorizes the issuance of a notice, not a summons.*[12] That notice imposes *no* legal obligation upon the shareholder. The shareholder can ignore it, and if he does, none of his own legal rights is determined. Petitioners' effort to assimilate their status to that of a defendant is no more convincing than it was when made in *Phillips Petroleum Co. v. Shutts*, 472 U.S. 797, 808-811 (1995). There, this Court rejected an attempt by nonresident class members to analogize their status for purposes of *in personam* jurisdiction to that of a nonresident defendant. The Court stressed the many differences between the two and stated that, in reality, the class member "is not required to do anything". *Id.* at 810. *See also* Henry P. Monaghan, *Antisuit Injunctions and Preclusion Against Absent Nonresident Class Members*, 98 COLUM.L.REV. 1148, 1162-1173 (1998) (discussing this aspect of *Shutts*). The same is true here.

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[11] In the Question Presented in their brief on the merits, petitioners restate the question as follows: "Whether a shareholder who, pursuant to Federal Rule of Civil Procedure 23.1, is summoned to appear in federal district court and present objections to a proposed dismissal or settlement of a derivative action must also intervene pursuant tc Federal Rule of Civil Procedure 24 in order to appeal an adverse decision."

[12] The government, relying on *Cohen v. Young*, 127 F.2d 721, 724 (6th Cir. 1942), seems to endorse the "summons" argument. Br. 6.

Petitioners, however, undercut their "summons" argument, for the key fact upon which they rely is not simply the existence of the Rule 23.1 notice to shareholders, but the fact that they responded to the court's "invitation". Br. 19. But their acceptance of the court's "invitation" cannot transform a Rule 23.1 "objector" into a "party." *See*, for example, *Grant v. United States*, 227 U.S. 74, 79 (1913). An objector appears in court solely in the interest of the corporation, but as an objector. The language of Rule 23.1 does not confer party status on him. Of course, petitioners do not want any burdens that party status brings. They are really asking for the status of "super parties", that is to say, to have all the rights of a party in gaining access to the appellate court, but without shouldering any of the responsibilities. Rule 23.1 does not afford them this luxury.

B. Ancillary or Non Caption Parties.

As we have noted, neither Rule 3(c) nor this Court's Rule 12 defines "party", but as the case law and this Court's Rule 14(b) make clear, this term properly includes persons other than those listed in the pleading captions.[13] The government insists that use of the category of ancillary party "should be sparing indeed". Br. 16. This Court's[14] decisions support grouping "ancil-

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[13] Petitioners argue that 28 U.S.C. §1291 does not mention a party requirement. But 28 U.S.C. §1254(1) does. Moreover, it seems highly unlikely that §1254(1) provides this Court with less jurisdiction than §1291 gives to the court of appeals.

[14] Interestingly, in massing their ancillary party cases, petitioners rely almost exclusively on lower court decisions and the views of a treatise. *See* Br. 25-26. By contrast, the govern-

(continued...)

lary" parties into three general categories. First, where the appellant is himself the direct object of a judicially enforceable order, such as an injunction or a contempt citation. *United States v. Nixon*, 418 U.S. 683 (1974). Second, where the court purports directly to affect legally established rights or duties of named persons. *E.g.*, *Kneeland v. American Loan & Trust Co.*, 136 U.S. 89, 94 (1890); *Blossom v. The Milwaukee Railroad*, 68 U.S. 655, 655-56 (1863). In these circumstances, the judicial order must do more than simply disadvantage the would-be appellant, as *Marino v. Ortiz*, 484 U.S. 301, makes plain. Rather, it must operate directly upon the rights or duties of named persons. Third, where the appellant has unsuccessfully sought to intervene in the proceeding. *Id.*

Neither of the first two categories is applicable here. As discussed above, objectors are not "summoned" to the court, any more than are absent class members in a Rule 23 proceeding who receive a comparable notice under Rule 23(e). Shareholders can ignore the notice, *and if they do, their own legal rights are not affected.* The government's unsupported argument that the objecting stockholder under Rule 23.1 asserts a "personal right" (Br. 16) is quite misleading. As we have noted, as a stockholder, the objector may have an economic interest sufficient to satisfy art. III, but a Rule 23.1 proceeding concerns only the rights of the corporation,

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[14] (...continued)
ment confines its discussion to the decisions of this Court. Br. 16-18. In this brief, like the government, we focus on the decisions of this Court.

not losses suffered by individual stockholders. *Kamen v. Kemper Fin. Servs., Inc.*, 500 U.S. at 95.

Petitioners' reliance (Br. 21) upon this Court's decision in *Johnson v. Manhattan Railway Co.*, 289 U.S. 479, 495 (1933) is misplaced. *Johnson* arose in unusual circumstances: a bitter jurisdictional clash between a senior circuit judge, sitting in the district court, and the district judges over appointment of equity receivers. So far as relevant here, this Court rejected a collateral attack upon a proceeding in which the senior circuit judge had entered an order continuing the appointment of a temporary receiver. In a paragraph explaining why the second proceeding was a collateral and not a direct attack on the order entered by the circuit judge, this Court said the new litigants could have appeared before the circuit judge to oppose the continuance of the receivership. The Court then added that, "had the receivership been continued without giving effect to [their] objections they would have been entitled to appeal." This statement is viewed in isolation, is *dictum*, and it was certainly not a matter upon which the Court focused. None of the four circuit opinions the Court cited supports the statement, even in the receivership context.[15] Moreover, on the very next page of the

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[15] In *Christian v. R. Hoe*, 63 F.2d 218 (2d Cir. 1933), for example, the appellant owned shares and a note. He did not appear as a shareholder. Rather, he "appeared in his own behalf and in behalf of other note holders". In *Mitchell v. Lay*, 48 F.2d 79, 84-85 (9th Cir. 1931), a judgment had been entered against the appellant. "The judgment therein rendered was as to him final and appealable as such." *Id.* at 85. In *Kingsport Press, Inc. v. Brief English Systems, Inc.*, 54 F.2d 497 (2d Cir. 1931), a creditor was allowed to appeal an order
(continued...)

Court's opinion, the Court discusses the intervention rights the litigants would have had in the proceeding before the circuit judge. *Id.* at 496. Thus *Johnson* does not hold that an objector could appeal without seeking intervention. It is best read as recognizing a right of appeal when the litigants actually intervened in the proceeding before the senior circuit judge.

Whatever role the *Johnson* statement may have in the reorganization and receivership context, however, it cannot be extended to a Rule 23.1 proceeding. To do so would be inconsistent with the language and policy of the Rule. Moreover, such an extension would be inconsistent with the statutes and rules governing the subject matter jurisdiction of the courts of appeals and of this Court. This Court has emphasized just recently the imperative nature of the obligation that lower federal courts observe statutory and constitutional restrictions on subject matter jurisdiction. *Steel Co. v. Citizens for a Better Environment*, 118 S.Ct. 1003, 1012-16 (1998). *See also Lexecon, Inc. v. Milberg Weiss Bershad Hynes & Lerach*, 118 S.Ct. 956 (1998).

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[15] (...continued)
appointing a receiver. There was much discussion of the law governing the appointment of a receiver on the application of a simple contract creditor, but no issues of appellate jurisdiction were discussed. Finally, in *Blake v. District Court*, 59 F.2d 78 (9th Cir. 1932), a percentage holder of oil and gas leases sought appellate relief under the All Writs Act. 28 U.S.C. §1651(a). Relief was denied because the petition was an improper end run around the statute governing appeals to the court of appeals (28 U.S.C. §1291), and petitioner should have participated in the district court proceeding.

C. State Law.

The *amicus* brief submitted by Professors Hamermesh and McManamon contends that, in derivative actions, state law provides the controlling rule of decision as to whether an objector may appeal without intervention. The claim seems to be that Rule 23.1 "incorporates" this "substantive" provision of Delaware law. Br. 13. If it does not, the professors insist, Rule 3(c) would be invalid under the Enabling Act, 28 U.S.C. §2072, because it "abridge[d] . . . [a] substantive right". Br. 12. This issue was not raised by the petition for *certiorari* and it cannot be said to be "fairly included" within the grant.[16] What is more an *amicus* ordinarily has no standing to enlarge the question presented by petitioner. *United States v. Dion*, 476 U.S. 734, 746 (1986). Most importantly, the issue was not even considered by the court below. *Matsushita Elec. Indus. Co. v. Epstein*, 516 U.S. 367, 379 n.5 (1996). If the issue raised by the *amicus* brief were thought to be pertinent, the writ should be dismissed as improvidently granted because the issue is not presented by this record. *See* Robert L. Stern, *et al.*, SUPREME COURT PRACTICE 259 (7th ed. 1993) (collecting cases).

Suffice it for our purposes to say that on its face the professors' analysis seems implausible.[17]

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[16] Rule 14.1(a) of this Court's rules states that, "Only the questions set out in the petition, or fairly included therein, will be considered by the Court."

[17] To the extent that Rule 3(c)—or its background premise that only parties can appeal—excludes certain persons from an appeal, it is surely well within the constitutional authority of
(continued...)

II. Intervention Is an Important Requirement.

A. Intervention Serves a Meaningful Function.

Requiring that a shareholder who wants to appeal first seek to intervene has the beneficial effect of deterring frivolous or obviously self-interested appeals. Objectors come in all sizes and shapes. Some make a substantial commitment of time and energy; others do not. Should one shareholder be able to delay implementation of a settlement for a year or more by simply filing a technical objection, by sending a bare-boned opposition letter to the court, or by arguing that the settlement is not what he would have done? Suppose that three shareholders desire different and conflicting

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[17] (...continued)
Congress to so provide. That was settled long ago. In *Sheldon v. Sill*, 49 U.S. 441 (1850), this Court sustained an exclusion of assignees from a district court's diversity jurisdiction. The Court there recognized that the jurisdiction of the inferior federal courts is prescribed by Congress. *Id.* at 448-49. And, of course, the histories of diversity and federal question jurisdiction are replete with the exclusion of certain categories of would-be litigants without regard to the content of state law. The claim that failure to follow Delaware "substantive" law would render Rule 3(c) inconsistent with the Enabling Act is also incorrect. A federal rule that said that a non intervening objector is not a party is clearly procedural in nature, within the teachings of this Court's cases. *Hanna v. Plummer*, 380 U.S. 460, 469-74 (1965); *Walker v. Armco Steel Corp.*, 446 U.S. 740, 750-53 (1980). Congress could, of course, absorb state law on this point. *See*, for example, Fed.R.Civ.P. 17(b). But the *amicus* briefs provide no evidence that it has done so here. Quite to the contrary. So far as "party status" is concerned, Rule 23.1's "contemporaneous ownership" requirement imposes restrictions on derivative suit plaintiffs as a matter of federal policy wholly irrespective of the content of state corporate law. *Daily Income Fund, Inc. v. Fox*, 464 U.S. at 531 n.6.

results. Under Rule 23.1, these shareholders may be entitled to file an objection and even appear to have their day in court. But that is all that it is. Without a more substantial commitment, they should not be accorded a further opportunity to hold up implementation of a settlement to which the parties have agreed and which a district court has approved. Petitioners' assertion that their procedure would not increase the number of appeals (Br. 37-38) is wide of the mark. Quantity is not the issue. A requirement of intervention will at least help to deter meritless or self-interested appeals with all of their attendant costs and delays.[18]

There is another policy advanced by an intervention requirement: certainty as to when the litigation is over. If no objector moves to intervene and the district court approves the settlement and enters judgment, the parties can be certain that the litigation is at an end.

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[18] Of course, as has been recognized, objectors are not immune from self-interest or ignorance. Patrick Woolley, *Rethinking the Adequacy of Adequate Representation*, 75 TEX.L.REV. 571, 618 (1997) ("By filing or threatening to file an objection to the settlement a class member may be able to 'extort' a settlement"); Jonathan R. Macey and Geoffrey P. Miller, *The Plaintiff's Attorney's Role in Class Action and Derivative Litigation: Economic Analysis and Recommendations for Reform*, 58 U.CHI.L.REV. 1, 46 (1991) (Objectors are often either disgruntled plaintiffs' lawyers or uninformed class members). For a discussion of the self-interest and obstruction that objectors may bring to the proceedings, *see Holden v. Burlington Northern, Inc.*, 665 F. Supp. 1398, 1428-31 (D. Minn. 1987). In this case, the institutional investor *amici* argue that, although they may lack the time and resources to monitor litigation (Br. 10-15), they should have the right to appeal if the district court judge does not agree with their views, no matter how uninformed and incorrect.

Intervention simply reflects the dual nature of a derivative action. A derivative action permits a shareholder to "step into the corporation's shoes and to seek in its right the restitution he could not demand in his own." *Cohen v. Beneficial Indus. Loan Corp.*, 337 U.S. 541, 548 (1949). Intervention properly focuses the court and the parties on the threshold issue in a derivative action, that is, whether the plaintiff, including the intervening plaintiff, has the right to sue on behalf of the corporation. *Ross v. Bernhard*, 396 U.S. 531, 538 (1970). When properly viewed in the context of what a derivative suit is about, intervention is quite obviously not a meaningless formality or an unwarranted obstacle. Because only a shareholder who speaks for the interests of the corporation is entitled to litigate and, therefore, to appeal, it is logical to require that the shareholder first make a showing either that the named plaintiff does not adequately represent the interests of the corporation and all its shareholders, and that the objector does, Rule 24(a); or, at least, that the objecting shareholder seeks to represent the interests of the corporation in objecting to the settlement and has a claim in common with the main action, Rule 24(b). This threshold issue is also one that the court of appeals should be able to focus on first, regardless of which way the district court rules in what has become a dispute over which shareholder best represents the interests of all and should be heard on behalf of the corporation.

This case is not the appropriate vehicle for deciding the policy argument of petitioners and their *amici* that objectors can play an important role in settlement proceedings so long as they are allowed to proceed without more. If Rule 23.1 or Fed.R.App.P. 3(c) is to be

rewritten, *see Martin v. Wilks*, 490 U.S. 755, 767 (1989), then the rulemaking process that 28 U.S.C. §2072 provides for should be invoked. *Amchem Prods., Inc. v. Windsor*, 117 S.Ct. 2231, 2248 (1997). If jurisdictional statutes, for example 28 U.S.C. §1254(l), are to be amended, Congress must undertake that task. Rulemaking, whether under the auspices of Congress or the Court, will allow the full consideration of the potentials for abuse that exist if *any* shareholder who objects—even by sending a letter—to any part of any settlement can appeal and delay for a year or more implementation of a settlement that other shareholders have accepted.

B. An Intervention Requirement Does Not Promote Collusive Settlements or Impose Undue Burdens.

Petitioners argue that appeals by nonparty objectors are necessary to prevent collusive or unfair settlements. They express great concern that district court judges charged with the responsibility for deciding whether a settlement is fair or adequate will be misinformed or uninformed. Assuming for argument's sake that petitioners are correct about the state of affairs without objectors, this argument further assumes that federal district court judges will abandon their responsibilities as guardians of the class and will rubber stamp a "collusive settlement" in the face of cogent, well-founded objections. Petitioners totally discount the possibility

that district courts consider and respond appropriately to valid objections.[19]

Of course, all of petitioners' expressed concerns could readily be addressed by a motion to intervene. If denied, objectors could appeal this denial just as they could appeal the approval of the settlement. Petitioners, however, argue, inconsistently, that district courts will deny motions to intervene—a result that could, of course, be appealed—or that the courts may instead grant these motions, subjecting them to the burdens, risks and responsibilities that parties have, but that petitioners are unwilling to assume. The fear of discovery is speculation, as this Court has already observed of similar fears, *see Phillips Petroleum Co. v. Shutts*, 472 U.S. at 810 n.2, and would appear totally illusory in the case of an intervention for purposes of appeal. Similarly, any additional pleading burdens are certainly not unduly harsh for someone who seeks the time and attention of a court of appeals. It is also an obligation commensurate with the ability of the objecting shareholder to delay the implementation of a settlement. Finally, the argument that not all objectors can intervene, if correct, would not justify a different approach. If an objector cannot be a party under Rule 23.1 and, therefore, could not intervene, it is appropriate to foreclose an appeal, because this shareholder by definition cannot represent the interests of the corporation.

[19] Petitioners provide no statistics on the total number of settlements that district courts have rejected. The sampling of appeals they do present (Br. 37-38) suggests that more settlements are rejected at the district court level than are approved and reversed on appeal. The suggestion of certain institutional investor *amici* (Br. 17) that lower court disapprovals are related to the threat of an appeal is pure speculation.

CONCLUSION

For the reasons stated, this Court should affirm the judgment of the Court of Appeals for the Seventh Circuit.

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